Strategic Marketing Playbook

FY25

DAIKIN COMFORT TECHNOLOGIES NORTH AMERICA, INC.

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Strategic Marketing | Residential Controls – FY24 Results, FY25 Plan

PIC: CAHILL

- Controls revenue contributed over $45M USD in FY24 with sales growth in all thermostats, despite headwinds that impacted FIT sales and associated controls **[1]**
- The majority of thermostats connected to the Daikin Cloud are Daikin brand, but Amana brand had significant growth in FY24, while Goodman brand has been impacted by thermostat form factor, and perceived value **[2]**
- Of the 320K thermostats sold to consumers approximately 56% of are connected to Wi-Fi, and are paired to the homeowner app, but only 8% of homeowners using our app have active Cloud Services licenses **[3]**

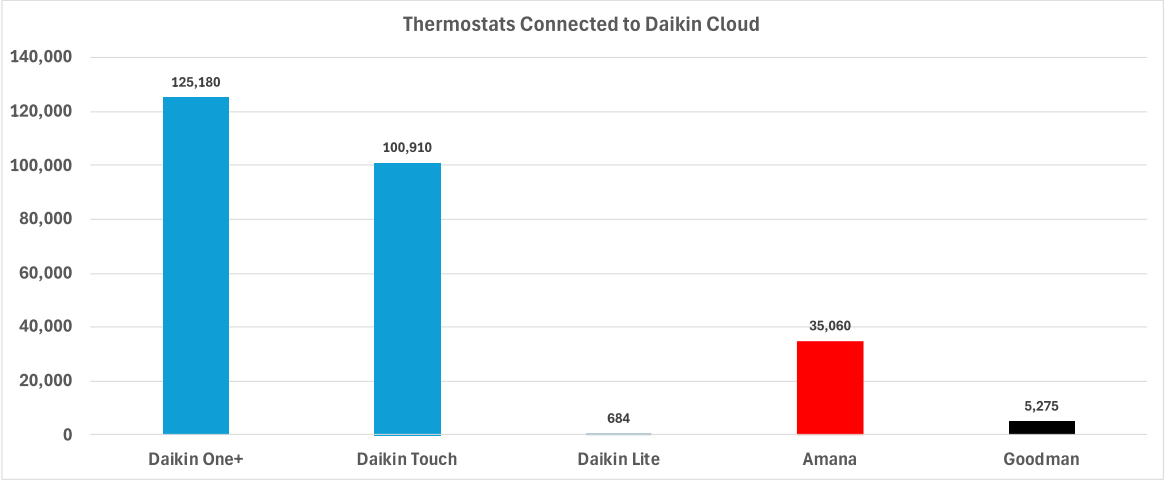
[1] FY24 Financial Results, FY25 Budget

Part Number	Description	ASP		FY24 (Thru Feb)	FY25
DTST-CWBSA-NI-A	One+	$329	Volume	18,126	27,821
			Revenue	$ 6,106,321	$ 9,147,422
DTST-TOU-A	Touch	$310	Volume	60,677	111,279
			Revenue	$ 19,616,183	$ 34,486,443
DTST-LTE-LA-A	One Lite	$201	Volume	9,390	8,959
			Revenue	$ 1,829,259	$ 1,800,120
DSEN-TH-BWS-A	RHT Sensor	$71	Volume	0	1,339
			Revenue	$ -	$ 95,069
DAPT-ONE-VMS	Adaptor	$86	Volume	0	18,421
			Revenue	$ -	$ 1,584,206
ATST-CWE-BL-A	Amana Stat	$262	Volume	36,045	65,400
			Revenue	$ 11,648,056	$ 17,110,744
GTST-CW-WH-A	Goodman	$95	Volume	12,402	45,500
			Revenue	$ 1,424,174	$ 4,310,376
DTST-ONE-ADA-A	One+ Bundle	$417	Volume	4,279	0
			Revenue	$ 1,784,090	$ -
DTST-TOU-ADA-A	Touch Bundle	$378	Volume	5,587	0
			Revenue	$ 2,112,377	$ -
Grand Total Volume				**146,506**	**278,719**
Grand Total Revenue				**44,520,460**	**68,534,380**

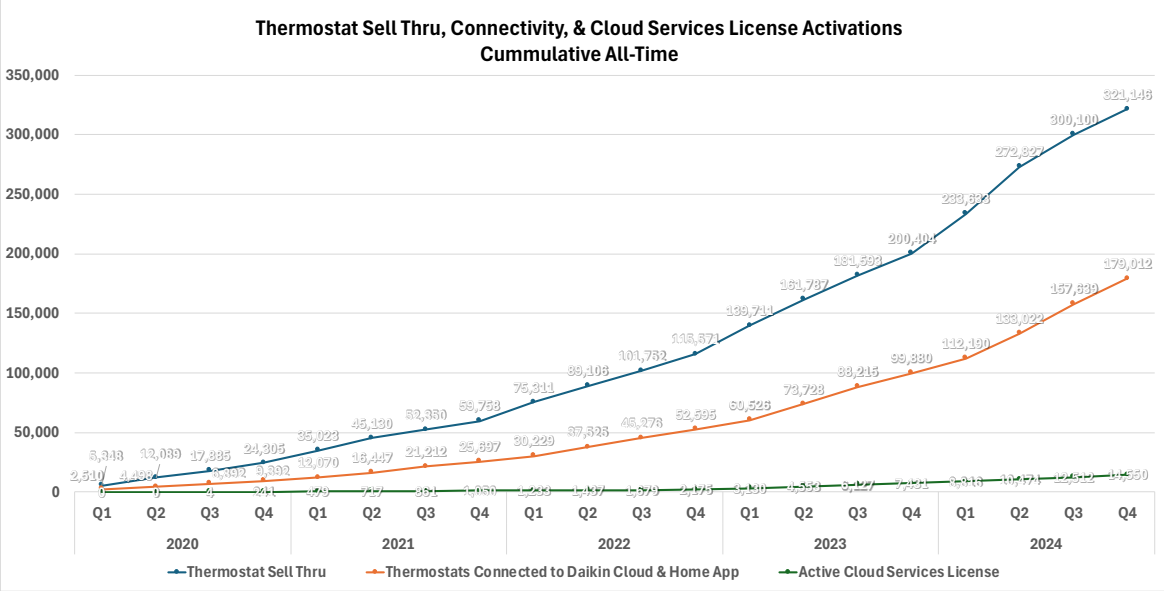
Simplified Product Offering reduces two duplicative SKU's in FY25

- DTST-ONE-ADA-A
- DTST-TOU-ADA-A

[2] Cloud Connections by Brand



[3] Thermostat Sales, Connectivity, and Cloud Services utilization (All-Time)



Strategic Marketing | Residential Controls – Hardware Initiatives

- Simplify product selection and streamline internal processes by reducing SKU's and the complexity of inventory management **[1]**
- Support FIT sales goals by addressing customer VOC on the Daikin ONE+, that the analog wheel is not responsive enough, by introducing a new more responsive wheel design that also provides tactile and audio feedback **[2]**
- Launch new 24V cloud connected thermostat to support Altherma launch and help our dealers convert legacy systems to FIT by leveraging performance data on existing 24V system vs. FIT **[3]**
- Support FIT sales goals with the launch of new E-Premium accessories including Wireless RHT Sensors **[4]** & a best-in-class ducted wireless zoning solution **[5]**, to expand and enhance applications where FIT can be applied.
- Support FIT sales expansion in commercial applications by introducing a BACnet integration, finally addressing a key Rep pain point since 2019, that has prevented fully fledged project activity with FIT. **[6]**

[1] SKU reduction / simplification (FY24 Carryover):

- Eliminate bundled stat + communication protocol adapter SKUs to reduce the overall number of Daikin One, and Touch thermostats needed on hand, while
- Implementation delayed due to inventory positions and requirement to rework SKUs
- **Target Turnover Date: June '25**

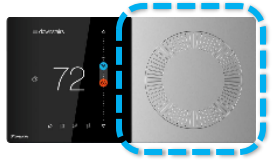
PIC: Cahill

Category	Name	Total SKU's	Tier	Daikin	Amana	Goodman	Franklin / Liberty / PLP
Unitary Stat	Daikin One+	6	Flagship				
	Daikin One Touch		Premium				
	Amana Touch		Premium				
	Goodman Touch		Premium				
	Goodman GTST-01		Base				
	Daikin One 24V		Service				
Ductless Stat (Bundled w/Adaptor)	Daikin One +	3	Flagship				
	Daikin One Touch		Premium				
			Base				
	Daikin One Light (S21 Only)		Base				

Category	Name	Total SKU's	Total SKU's	Daikin
Unitary Stat	Daikin One+	1	5	
	Daikin One Touch	2		
	Amana Touch	3		
	Goodman GTST-01	4		
	Daikin One 24V	5		
Ductless Stat	Daikin One Lite	6	1	
Ductless, VRV Adaptor	#1 - S21 P1P2 (110 - 230V)	1	1	
	#2 - S21 (230V Only)	2	2	

[2] Updated rotary encoder (Dial) for Daikin ONE+

- The responsiveness of the Daikin ONE+ dial has been a long-standing pain point for dealers and homeowners.
- We are introducing a new dial (Rotary encoder) with mechanical rather than magnetic movements to address VOC that the dial is not responsive enough



Target Date: June '25

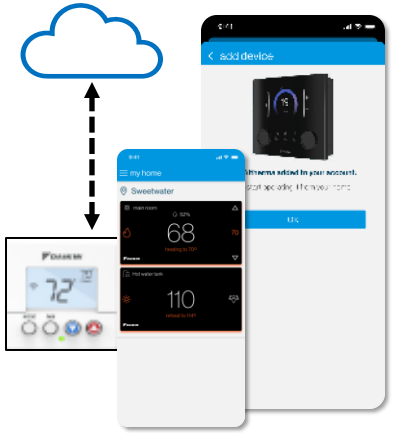
PIC: Cahill

[3] Cloud Connected 24V Thermostat:

- Launch Daikin branded 24V control for Altherma (Zone controller)
- Enable unified homeowner and dealer experiences on our digital platforms when accessing cloud connected equipment
- Support FIT expansion by providing a low cost 24V control intended to be installed on any (Competitors) 24V legacy systems.
- Connection to Daikin cloud will allow us to utilize cloud algorithms, to identify systems approaching EOL, and/or with inefficient operation.
- Leads identified are passed to Daikin dealers with the goal being FIT replacement sales.
- FY24 launch delayed due to resource constraints due to accelerated R32 launch schedule

Launch Date: September '25

PIC: Baer



[4] RHT launch (FY24 Carryover):

- Support FIT by expanding applications, and comfort delivered in non-zoned homes
- Daikin One+ and up to four RHT sensors can be paired together
- Required for zoning launch
- Support sales of flagship Daikin One+ thermostat
- FY24 launch delayed due to issues discovered in field testing, and Venstar priorities

Launch Date: June '25

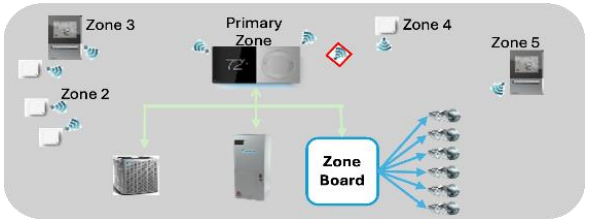
PIC: Cahill

5) Zoning (FY24 Carryover):

- Support FIT by expanding applications with best-in-class wireless zoning solution
- Expand E-Premium line-up with fully communicating zoning solution for precise comfort throughout ducted homes

Launch Date: December '25

PIC: Cahill



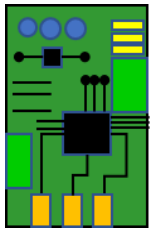
Revenue Goal	FY25	FY26
D1+ revenue	$ 3,398,535	$ 5,252,924
Zone Panel Revenue	$ 4,097,912	$ 6,333,912
Damper Revenue	$ 2,367,682	$ 3,659,594
Simple Zone Controller	$ 648,850	$ 4,011,470
RHT Sensor	$ 68,295	$ 422,280
Total Revenue	**$ 10,581,273**	**$ 19,680,180**

[6] BACnet Interoperability to FIT Portfolio:

- Support FIT sales expansion in applied channel into larger Multi-Family / Multi-Tenant applications that require BACnet integration
- Support FIT sales expansion beyond MF / MT applications into assisted living, healthcare, retail, office space, etc… where centralized BMS control is required
- Enable BMS systems to access and control FIT systems vis MS/TP protocol
- Hardware accessory added to installed system

Launch Date: FY26

PIC: Baer



Strategic Marketing | Daikin One Cloud Services: FY24 Results, FY25 Plan

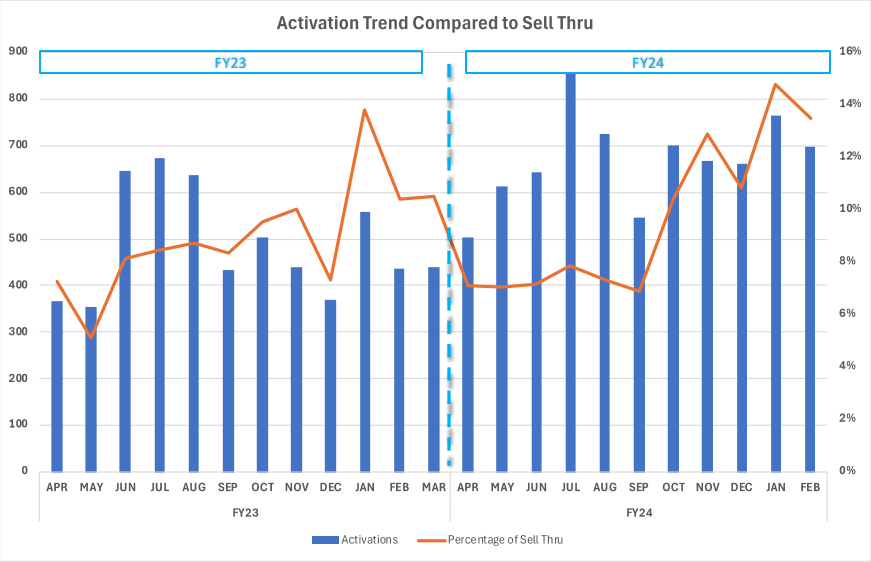
PIC: CAHILL

- **FY25 Solutions Enhancement Objectives:**
- The pathway to achieving 300K FIT (& S / SD) and 400K RA is heavily influenced by a leading IoT solutions experience that empowers dealers, helps their business and ultimately delights customers.
- Our fledgling cloud services solution has seen growing pains relative to stability, utilization and engagement along with limited feature enhancements aligned with life cycle benefits.
- Improvement areas executed in FY24 has seen positive improvements in dealer participation and homeowner activation, but additional value add features tied to, **New Product Introductions (NPI), New Feature Introductions (NFI), and New Service Introductions (NSI),** will be executed in FY25 and will contribute to expanding the success of our Cloud Services solution.

FY24 Engagement & Financial Results:

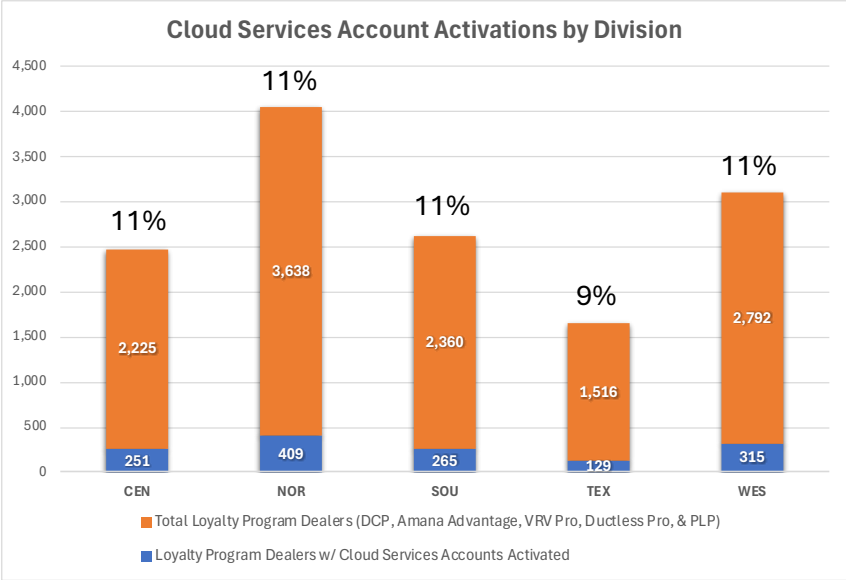
- Bundling the first-year license with the purchase of all Smart thermostat sales created a pathway to achieve Fusion 25 Plan, however disruption in FIT sales (48%) in FY24 impacted sales of smart thermostats, and ability to achieve revenue targets
- Stand alone license sales (Activated & Renewed) remain well below plan. Dealer engagement remains limited with only 11% of loyalty program dealers with active Cloud Services accounts

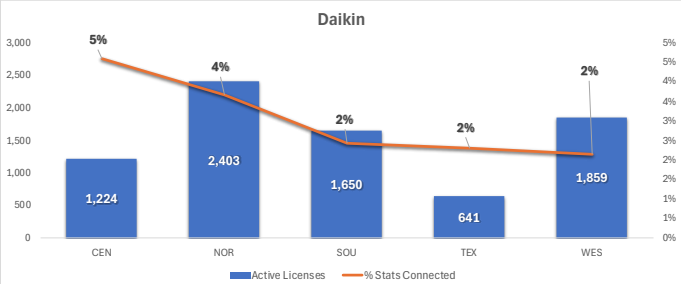
FY24			
	FF	Actual Thru 2/28/25	GAP
FIT Sales Target (Sell-In)	225,000	108,742	(116,258)
License Activations (Cloud Services)	175,654	9,612	(166,042)
Revenue (Booked)	$19,813,368	$8,556,368	($11,257,000)
Revenue (Recognized)	$11,281,379	$7,038,196	($4,243,183)
GM $	$11,055,751	$7,123,844	($3,931,907)

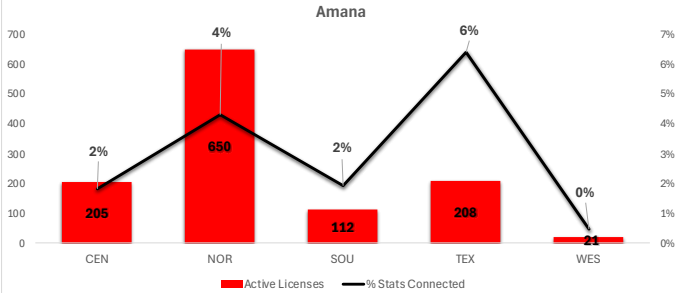


Engagement Results:

- Continued Limited Dealer Registration – Cause: SSO delay & PAP updates still in progress
- Limited HO License Activation – Cause: Process challenges, Participation Gap, Unclear Value Proposition







1,369 dealers of a total of 12,531 (11%) total loyalty program dealers have activated Cloud Services accounts

8,973 licenses are activated in cloud services of 314,767 thermostats sold since FY21. An 3% Activation Rate

FY25 Budget:

FY25 OB	
FIT Sales All Brands (Sell-in)	300,000
Thermostat Sales (Sell-in)	258,959
License Activations (Cloud Services)	**166,750**
Total License Sales (Units)	**180,881**
Booked Revenue (Estimate)	**$17,346,725**
Recognized Revenue (Estimate)	**$13,301,606**

Budget Details:

- Cloud connections are based on updated FIT targets
- Engagement activities will be focused on,
  - Ensuring account creation by all loyalty plan dealers
  - All qualifying systems have Cloud Services activated for year-1
- Incentivize sales team to discuss and encourage utilization on all qualifying system installations

Strategic Marketing | Residential Controls & Solutions – Software & Services Initiatives

Expansion of our residential solutions business in FY25 aligns to our business commitments for FIT and RA expansion, Altherma launch, and GRS strategy, while strengthening our platforms functional and technical foundation **[1]**.

- By integrating Cloud Services into New Product Introductions (NPI) Altherma **[2]**, 24V cloud connected thermostat **[4]**, and Zoning **[9]**, we help simplify product set-up and commissioning while **ensuring performance data and a cloud connection are established day of install**.
- We'll increase the value of Cloud Services with New Feature Introduction (NFI), Private Label Support **[3]**, Energy Report 2.0 **[6]**, and *Quality Install* Enhancements **[7]** to support FIT and RA objectives, while increasing the value of Cloud Services to the dealer and homeowner by introducing Maintenance Reports **[8]**, and Automatic Warranty Registration **[10]**
- We are expanding Cloud Services capabilities and preparing for our HEMS strategy with a New Service Introduction (NSI) in Demand Response Ready **[5]**

[1] Brand unification (FY24 Carryover):

- Move from dedicated dealer and homeowner solutions tied to product brands to a DNA branded solution for dealers and homeowners.

Target Date: June '25 **PIC: Cahill**

[2] Altherma Product Launch and CS Support (New):

- Expand Cloud Services to support Altherma providing tools to improve install, diagnostics and trouble shooting.
- Enhance the homeowner experience with the installing dealer, and elevate the Daikin experience for the homeowner

Target Date: September '25 **PIC: Cahill**

[3] Private Label support (New):

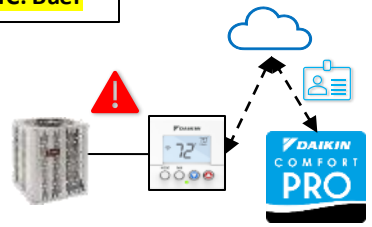
- Support FIT sales goals by providing a path for very large partners (i.e. - Johnstone, WATSCO, etc…) to private label FIT & the homeowner app experience to their brand.
- Aligns goals of large partners with DNA goals and enabling sales recovery.

Target Date: December '25 **PIC: Baer**

[4] Cloud Connected 24V Lead Generation (FY24 Carryover):

- Implement cloud-based algorithms to identify replacement ops.
- Alerts communicated to dealers and homeowners based on inefficient run, and end of life algorithm.
- Daikin dealers utilize leads identify FIT replacement sales opportunities

Target Date: November '26 ***delay to validate algorithm*** **PIC: Baer**



[5] Demand Response Ready:

- Support pilot program work in the "Smart" (Partial load) demand response space
- Showcase superior performance of Daikin Inverter systems to achieve grid shedding while maintaining desired comfort of homeowners participating in pilot programs
- Utilize cloud data from to inform product teams of system performance during curtailment events

Target Date: May '25 **PIC: Cahill**

[6] Enhanced Energy Reports 2.0 (FY Carryover):

- Transition our monthly report from email only to the homeowner app. Gamifying engagement to drive consumer understanding of Inverter technology, and spur ongoing engagement with Daikin brand.

Target Date: February '26 **PIC: Cahill**

[7] Quality Install Enhancements (FY24 Carryover):

- Enhance the *Quality Install* process based on VOC from internal stakeholders and dealer council
- Focus on reducing installation time, aligning with existing dealer processes, and ensuring reporting captures key data requirements for utility and rebate programs

Target Date: March '26 **PIC: Baer**

[8] Maintenance report (New):

- Launch report utilizing cloud data to support dealers' routine maintenance visits
- Report will enhance existing processes utilizing data available in Daikin Cloud

Target Date: March '26 **PIC: Roff**

[9] Support for proprietary zoning products:

- Streamline the installation, configuration, of Daikin proprietary zoning solution with set-up support via mobile app
- Cloud Services *Quality Install* will enable dealers to quickly view, set, and test all zone board and dampers withing a zoned system, while also validating airflow, charge, and system configuration

Target Date: December '25 **PIC: Cahill**

10) Automatic Warranty Registration for E-Prem products (FY24 Carryover):

- Value-add to the Cloud Services offering, by automatically registering E-Premium products warranty, when homeowners activate Cloud Services.
- Increases dealer value by decreasing the manual processes, and data entry required, while ensuring homeowners who purchase E-premium products get a high-end experience.

Target Date: March '26 **PIC: Cahill**

Strategic Marketing | Commercial Controls & Solutions – Light Commercial RTU Central & Local Controls

- SmartLINQ: Supports rapid growth of the LC RTU via intelligent value add platform for enterprise use. – **PIC L. Chandana**
  - Introduce a low-cost centralized control solution that can be installed and programmed by the HVAC contractor **[1]**.
  - SmartLINQ will provide and optimized bundle controls solution that will remove the need for the typical BMS integration and will not cannibalize the current iLINQ DDC currently sold on the DNA RTU **[2]**.
  - 1st year revenue goal is $700K, Qty 600 Control Panels to support FY25 RTU sales of 52K **[3]**.
  - Pre-Sales information will be released in April, followed by training and development from May and a sales launch from August **[4]**.
  - The solution also provides control or 3rd party VAV boxes controllers that can be integrated with the DNA RTU to create a whole building solution by using the AIO stat (phase 2 development) or 3rd party stat **[5]**.

1

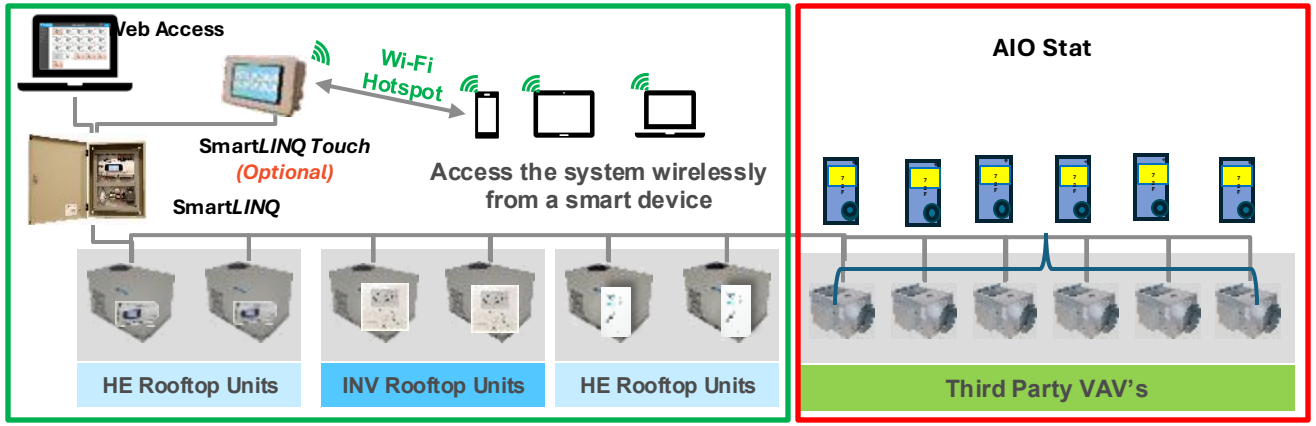
- Development cost will be minimal as we will be reusing the current ILINQ Touch hardware currently sold with the DNA RTU's with a DDC controller(ILINQ).
  - New programming will be implemented by DNA Controls Engineering (in house).
  - Customers will have the same look and feel as the current ILNQ controller
- Can be connected to up to 25 devices which includes a combination of RTU and VAV box controllers

- The SmartLINQ and SmartLINQ Touch were demoed at last Novembers Controls Summit and this years' AHR show.
  - It was well received by all. Reps are anxious to see it on the make as they feel it is priced to competed with AAON and other RTU manufactures
- Phase-1 will start beta testing end of March 2025
- Expected launch date August 2025

2

- The SmartLINQ will provide addition RTU sales & pull thru:
  - National accounts being able to provide RTUs and low-cost central controls solution
  - Create additional sales on bldgs. with DNA RTU replacement thru Distribution of competitors unit's w/o controls solution or at a higher price
  - Reps can now offer whole system solution and avoid BMS cost

SmartLINQ – FY24 –> FY26 Development



Phase-1 – Q2 FY25

Phase-2 – FY26

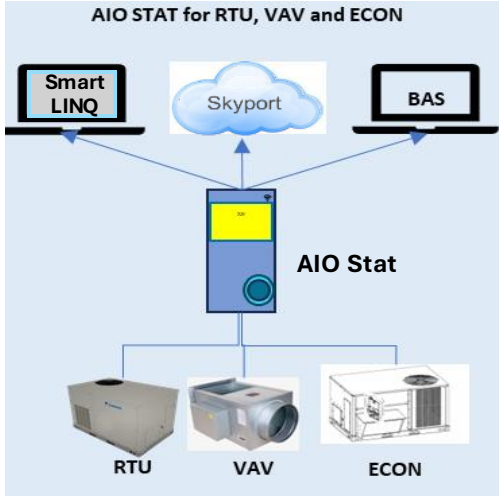
3

FY25	Sales Qty	Cost	Sale Price	Revenue	GM$/Unit	GM Revenue	GM%
SmartLINQ	600	$875	$1,200	$720,000	$325	$195,000	27%
SmartLINQ Touch	100	$335	$460	$46,000	$125	$12,500	27%
SmartLINQ RTU Pull Thru	370	$5,500	$6,600	$2,442,000	$1,100	$407,000	16%

4

SmartLINQ Launch Preparation

- Documentation will be released for spec in April 2025
- Training for internal May 2025 with development of controls training kits for hands on learning
- External training to begin August 2025



5

- The Phase-2 development will consist of the addition of a configurable thermostat (AIO thermostat)
  - AIO DNA development can be used with 3rd party VAV boxes
  - Combined with the SmartLINQ DNA will be able to provide a complete and low-cost RTU controls solution
  - Coupled with the SmartLINQ the AIO stat will create a wholistic solution for DNA and 3rd party VAV boxes. Customer will no longer see the need to purchase a non-Daikin stat for their VAV boxes

- AIO Stat provides one controller for RTU, VAV Box
  - Programming will be configurable making a good choice a variety of projects
  - Could be a replacement for the current AppStat purchased from KMC (~1k units)
  - Negotiating to be developed by Venstar. This will allow connection to Skyport
  - Will have BACnet integration capabilities

FY25	Sales Qty	Cost	Sale Price	Revenue	GM$/Unit	GM Revenue	GM%
AIO Tstat	3748	$250	$345	$1,293,060	$95	$356,060	27%
AIO RTU Pull Thru	344	$5,500	$6,600	$2,270,400	$1,100	$378,400	16%

Strategic Marketing | Commercial Controls & Solutions – Daikin Surveyor for Reps

- Leverage a Daikin version of Venstar Surveyor from Q3 FY25 to reinforces new market opportunities through National Accounts and Applied Rep/Owner relationships **[1]**, **[2]**.
- Applied Reps have an immediate need for the low-cost Light Commercial Energy Management System that can be used in the Plan & Spec market to create a packaged solution to boost LC RTUs sales.
- Both Venstar Surveyor and new Daikin brand Surveyor will be enriched & Will provide simple intuitive controls and monitoring of small box retail locations that are typically budget conscience **[3}**.

1 National Accounts – PIC Pennant

- Continue to work with Motili to establish NA projects to support FY25 RTU sales of 52K
- Whenever possible leverage the Venstar relationship with existing Venstar NA to obtain access to RTU replacement with DNA RTU
- Establish beta sites with VRV & DOS combination on new and existing NA

2 DNA Sales Rep – PIC Pennant

- Since the Rep is not familiar with Surveyor, we will introduce the Daikin Surveyor with only the RTU to start
  - The Rep and Distributor in Daikin's channel will gain familiarity with the Surveyor components, installation and use. Lighting will not be available at the introduction of the product launch
  - It will be easier to introduce VRV integration to the Rep once we they have bought into the Surveyor brand.
  - In the initial days, we will need distinguish Surveyor offering from HERO. Limited launch will help us in this objective.

Surveyor EMS Sales Channel Comparison Overview

	Features	Venstar & NA	DNA Sales Rep
1	Direct to Owner - Nationwide Locations	✓	
2	Franchise/Business Owner - Regional Locations		✓
3	"Red Carpet" Treatment - Able to request special services and features	✓	
4	Energy Management Consulting and Report Services	✓	
5	Customized Report Creation	✓	
6	Preconfigured "canned' application		✓
7	Can be used with RTU,	✓	✓
8	Integration via BACnet with VRV and DOAS	✓	
9	Lighting Control	✓	✓
10	Surveyor Service support provided by Venstar (1st Tier)	✓	
11	Surveyor Service support by Sales Rep (1st Tier)		✓
12	Surveyor Service support provided by Venstar (2nd Tier)	✓	✓
13	Enterprise access to all sites	✓	✓
14	Dashboard view of all sites and equipment	✓	✓
15	Price: 3 RTU locations + lighting + Energy Monitoring	Hardware $2000 Install Labor $4000 License $16/month	Hardware $2000 Install Labor $4000 License $50/month

✓ Lighting control not typically part of Sales Rep focus

Surveyor Beta Testing & Planning

- FY24 the DC500 was upgraded to include VRV and DOAS integration
  - Beta sites in NSW LA and Motili office NY

FY25 Planning – PIC N. Pennant

- The original plan was to launch Surveyor for the Reps April 2025. The project has been delayed, and a new launch target has to be discussed with Venstar.
- Meeting scheduled for May with Motili to discuss and agree upon launch timing
  - Sales data, expected revenue and profit still need to be captured
  - Will need to define the go to market strategy and how it compared to DNA current products like HERO.
- Service support structure will go thru Venstar for the Surveyor product
  - DNA Service to work with Venstar to create a process for providing service support if Venstar received equipment support request from the field..

Integrate VRV with Surveyor → Expand programming to support scheduling and setpoint control → Expand programming to support BACnet integration

Completed

Allow multiple accounts to operate in a single instance → Brand surveyor components → Limited launch of Surveyor to Reps (RTU capability) → Expand Surveyor to VRV at Rep level

To Be Completed

3 Venstar Surveyor Development – PIC Swaminathan

- The Surveyor product continues to be improved and updated to allow the connection of all Daikin HVAC equipment
- With the integration of the VRV equipment, Venstar has leverage their intuitive control's structure, so users do not have a steep learning curve to adjust to Surveyor.
- Users can now visualize their VRV systems for monitoring and controls but are also able to visualize operation data to aid in system troubleshooting
- With the addition of the DAA DOAS into Surveyor the same intuitive control structure was leveraged using BACnet integration

Daikin Surveyor Development – PIC Swaminathan

- With the development and introduction of Surveyor to the Rep channel additional development will be needed
- The backend structure and sign in security will need to be updated to support multiple accounts with small regional locations
- New branding will need to be considered for the Rep facing Surveyor to create a differentiated product
- Initial release of Daikin Surveyor will be limited to RTU applications only
- Will need to determine timing based upon demand and RTU sales for VRV access to the Daikin Surveyor

Channel	Application	FY24	FY25	FY26	FY27
NA	RTU Projects				
	VRV Pilot Projects		End Fall 2025		
	VRV Projects				
Rep/Distr	RTU Projects				
	VRV Projects				

Surveyor Release Schedule (estimated) – PIC Pennant

National Accounts

- Continue with NA and RTU application with Surveyor FIOP installed
- With the integration of the VRV into Surveyor beta sites will now be installed with Surveyor such as Learning Care Group - FY24 thru fall 2025
- Fall of 2025 will open up NA to RTU and VRV applications with Surveyor

Sales Rep

- Fall 2025 release Daikin Surveyor to Rep Channel with RTU applications only
- January 2027 provide access to Surveyor with RTU and VRV applications to the Rep Channel

Strategic Marketing | Commercial Controls & Solutions – HERO Simple & Pro Edge, New Local Controllers for VRV

- **HERO**: Both Simple and Pro versions available but initial sales and engagement have not achieved our budget objectives – mainly due to missing features and inconsistent alignment to rep business models **[1]**
  - In FY25, we will continue to strengthening the platform & increased engagement of the Rep with a VRV differentiated system solution **[2]** & overcome competitive preference to Cool Automation, Brainbox **[3]**.
- **VRV Local Control Solutions**: With the transition to R-32 VRV including D-IV protocol, the traditional local controllers are no longer compatible and must be replaced to meet code requirements. **[4]**
  - In FY25, we will coordinate with DIL and Venstar to formalize our market requirement and business case for local control options that can contribute to growth in key vertical markets

1. HERO Cloud Services Goals & Initiatives – PIC Pennant

- The sales launch of the HERO Pro Edge was September 2024. The expected adoption of the Pro Edge has been slow due to the lack of being a full featured central controller (i.e. BACnet Server). To recreate excitement for the Pro Edge, the developments scheduled for FY25 will provide many of the features expected by our customers.
- Developments currently implemented are Auto changeover, Scheduling, Setback, DAA DOAS integration, WAGO integration, IDU Control and BACnet Client functionality.
  - **Increase Simple Edge from Qty 1654 ($0.75M) in FY24 to Qty 3616 ($1.6M) in FY25.**
  - **Increase Pro Edge from Qty 125 (~$0.4M) in FY24 to Qty 1000 (~$2.7M) in FY25.**

	Simple Edge			Pro Edge		
FY24 (Mar YTD)	FY24 YTD	FY24 Plan	FY25 Plan	FY24 YTD	FY24 Plan	FY25 Plan
Sales Qty	1232	1654	3616	102	125	1,000
H/W Sales	$ 393,795	$ 528,651	$ 1,155,879	$ 201,464	$ 246,892	$ 1,975,133
S/W Sales	$ 161,053	$ 216,206	$ 472,728	$ 71,145	$ 87,188	$ 697,500
Total Sales	$ 554,849	$ 744,857	$ 1,628,607	$ 272,711	$ 334,079	$ 2,672,633
GM $ H/W	$ 305,585	$ 410,233	$ 258,917	$ 120,878	$ 98,757	$ 790,053
GM $ S/W	$ 107,369	$ 144,137	$ 157,576	$ 7,446	$ 78,063	$ 624,500
Total GM $	$ 412,954	$ 554,371	$ 416,493	$ 128,324	$ 176,819	$ 1,414,553

2. FY25 HERO Themes	Focus	Activity	Start Date	End Date	PIC
Rep Engagement	Development Prioritization - Prioritize features that will aid in consistent Rep engagement	IDU Detail Page, Pro Edge Backup, Schedule Update, Tenant App, Bug Fixes, Area Management, License Update (PPD, BACnet), ODU License per Edge (Release 3.3.0)	Mar-25	Apr-25	Swaminathan
		iTM Equipment CVS Import, Commissioning Report, Maintenance Report, Free Charting, Smart Home Integration, Licensing Options Update (Release 3.4.0)	Apr-25	Jun-25	
		Floor Plan, Interlock, Owner Delete Rep, Emergency Local App, R32 Piping Diagrams, AI/ML Alarm Workflow, VRV3 Piping Diagrams, DNA RTU Integration, Bug Fixes (Release 3.5.0)	Jul-25	Sep-25	
		WebXpress Integration, Mega-Q Integration, IAQ Integration, VRV/DOAS Optimization, Heat Maps, Graphics Creation Tool, Bug Fixes (Release 3.6.0)	Oct-25	Dec-25	
Attachment Rate	HERO BACnet Server	Large Reps are hesitant to sell HERO without the capability to connect to a BMS with the BACnet Server (like the iTM). Provide short term discounts for projects needing BACnet Server combining the iTM with BACnet Server and Pro Edge	May-25	Mar-26	Pennant
License Renewals	10 Year License	Provide a 10yr license to match equipment warranty	Apr-25	May-25	Pennant
	Software options	A minimum 5yr license renewal will be required to purchase PPD and Tenant App. This will provide 6 years of activation for the site.	Apr-25	May-25	
Retrofit Opportunities	Turntide	Convert exisitng Turntide projects to HERO. RRD to provide list of potential sites	Jan-25	Apr-25	Swaminathan
Service Monitoring	For profit Rep service	Refocus HERO business opportunities on for profit Rep service companies	May-25	On going	Pennant
Emerging Opportunities	Gen AI	Investigate the available options for implementing Machine Learning into HERO	Apr-25	May-25	Pennant
	LATAM	Investigate opportunities to sell HERO in LATAM.	Mar-25	May-25	
	DAA RTU (Siteline)	Work with DAA to detrermine how HERO can become the preferred controls for DAA RTU	Mar-25	Jun-25	

3. Competitive Siutation– PIC Pennant

- Currently, Cool Automation has been a major competitor for HERO. They have a full featured product that allowed them to step in and take over Turntide business with the DNA Reps. DXS and DANY have become distribution for the Cool Automation cloud product.
- Brainbox (bought Turntide) plans to relaunch an improved Turntide solution this October. This will create another competitor not only with our Rep channel but will most likely bring METUS into the picture as well with the Trane purchase of Brainbox.

4. New Local Remote Controller Developments – PIC Swaminathan

- With the change in refrigerant from R410 to R32 new local controllers will be needed to support the R32 products.
- **1.** The BRC1V71 RC (NAV) has been developed for compatibility with R32 IDUs and currently in stock. The RC is compatible with R410, R32 and INV RTU. Scheduled to receive updated plastic to refresh the look of the NAV
- In FY25 there are 2 additional developments planned: **2.** Venstar BRC1V basic and full featured RCs are planned for June and October 2026 respectively. **3**. DIL BRC1M updates the design of the NAV and will be D4-Net, R410 and R32 compatible. Planned for Jan 2027 release
  - By providing options for local controls our customers no longer have to deal with a "one size fits all" product lineup.
  - Each controller development will have different features sets based upon the Rep VOCs to attack different vertical markets

	BRC1NRV	BRC1V - Base	BRC1V - Full	BRC1M
Source	NARDC	Venstar	Venstar	DIL
Temp Sensor	Yes	Yes	Yes	Yes
Humidity Sensor	Yes (Display)	Yes (On-board)	Yes (On-board)	Wireless (Zigbee)
CO2 Sensor	No	Wireless (Sub Ghz)	Yes (Onboard)	Wireless (Zigbee)
Occupancy Sensor	No	Wireless (Sub Ghz)	Yes (Onboard)	No
IAQ sensor	No	No	TBD wireless option	Built-in (sends on DIV)
Sensor options	No	Venstar Ven-Net	Venstar Ven-Net	UEI Zigbee
Sensor averaging	No	Yes	Yes	no
Touchscreen	No	No	Yes	No
Wi-Fi	No	No	Yes	No
OTA updates	No	No	Yes	No
User Wi-Fi App	No	No	Yes	No
Skyport	No	No	Yes	No
Visual alert (R32 leak notification)	Yes	Yes	Yes	Yes
Preconfigured Application Profiles (hotel, office, school, apt, etc)	No	Yes	Yes	No
Open ADR 2.0	No	No	Yes	No
Title 24 Non-Commercial building	No	Yes	Yes	No

Strategic Marketing | Commercial Controls & Solutions – Building Management Solution and Centralized Controllers for VRV

Project Joshua – PIC Pennant

- Engage with DOHS to further understand the capabilities, value proposition and business case of Project Joshua.
- Determine how Project Joshua can be utilized in the North American market and how it would fit into the current control's portfolio. Investigation to be completed by September 2025

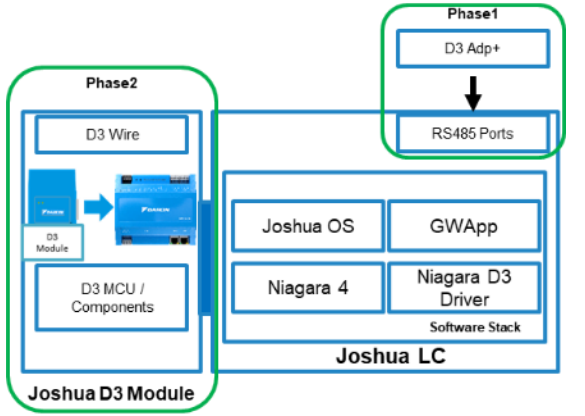
Project Joshua

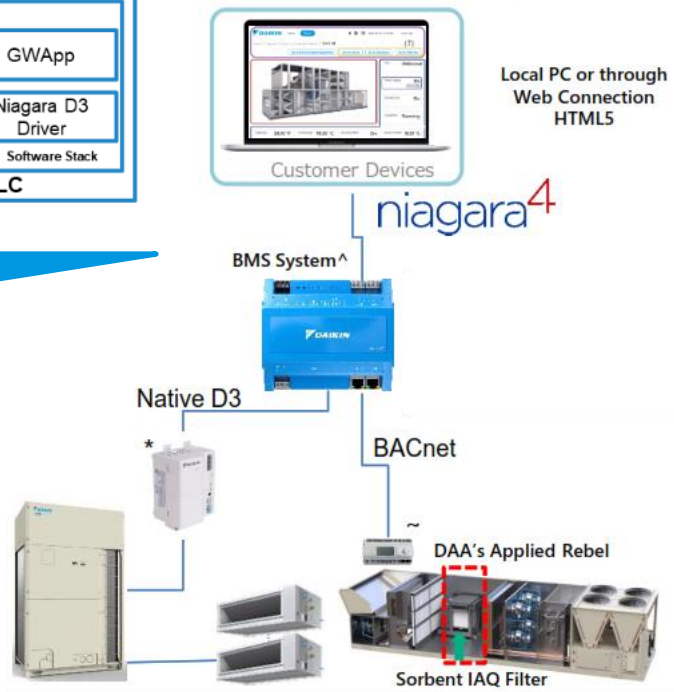
- Developed & Launched by a DOHS to enhance sales efforts by providing a direct D3 connection for VRV
- Base hardware is Niagara with Daikin proprietary software
  - Testing using the D3 Plus Adaptor + gateway App within the hardware
  - Goal: increase number of units connected to GPF Cloud
  - Simplify the installation process
  - Provides connections to non-Daikin equipment and other VRF competitors

Project Joshua & DNA - PIC Swaminathan

- Compared to the DNA portfolio, Joshua offers full building control of similar to that of a full BMS system. It has the capabilities to monitor and control chillers not currently in the scope of DNA controls.
  - It provides BMS flexibility to also control other VRF and Applied competitors via BACnet integration
- DNA has an opportunity to leverage developments already completed
  - Leverage graphics library for HERO and 3rd party equipment integration
  - Leverage equipment auto-discovery function to reduce commissioning time
- Currently investigating and having discussions for the next generation of central controller options

Proposed D3 Driver within Project Joshua





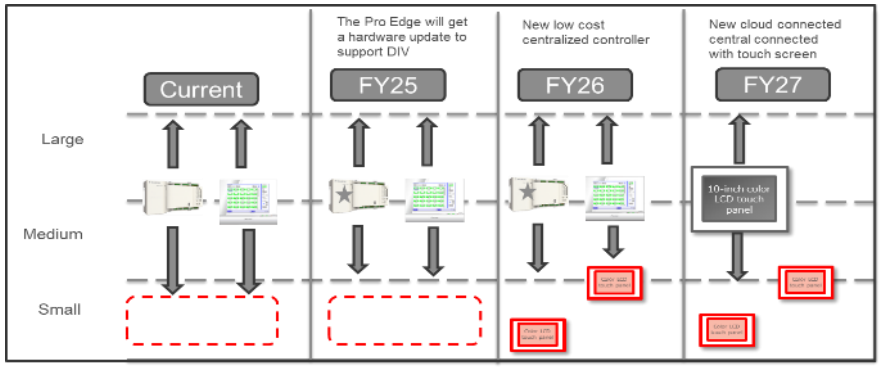
Phase 1 Features

- D3 Niagara Driver
- Up to 448 Input and Outputs direct connect, Lighting, Fans/Ventilation (One LC)
- Integrate to other VRF Systems, IEQ, Energy Meters
- Local Onsite Graphics for the Customer
- Cloud Connection to GPF Cloud*

*Approval for GPF Authenticator

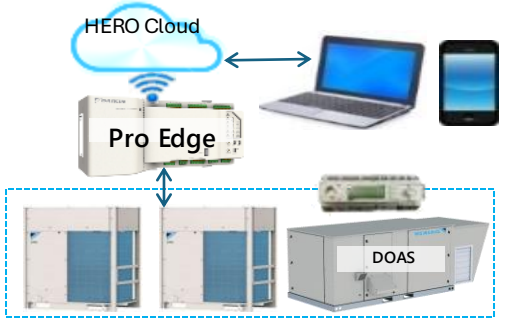
DNA Central Controllers (CC) – PIC Swaminathan

- With the launch of R32 VRV-S and 3ph at the end of the year with the new D4 communication protocol, the current central controllers will need a way to communicate with them
  - New D3/D4 adapter is currently in development to be released planned release April/May 2025 to be used with the Pro Edge and iTM.
- The HERO Pro Edge will be updated with D4 communication in late FY26
- Currently, the Pro Edge and iTM are being applied to large projects due to cost. We have requested a low cost and capacity central controller that can be used on small VRV projects and RA/QA installations
- By adding low-cost and low-capacity CC to the portfolio it will enable DNA to capitalized on small to mid size RA/QA & VRV projects where our traditional CC are cost prohibitive. Allowing each project to choose the right product to fit the application



VRV & DOAS Optimization – PIC Pennant

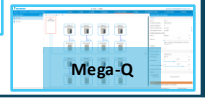
- Currently, developing the ability to optimize the joint operation of the VRV ODU and DAA DOAS serving the same space
  - Will be able to optimize based upon 5 settings: Heating Control, Heating Low Load Control, Laten Heat Sharing Control, Latent Heat Sensitive Heat Separation Control and Outside Air-Cooling Control
  - Will be able to manually select options to set for automatic operation - release date: TBD



Strategic Marketing | Digital Tools – Implement key tool initiatives to achieve FY25 sales goals across all product lines, enhancing the customer journey with seamless experiences and data-driven insights. Empower users with reliable solutions and training, optimizing for R-32 readiness and streamlined operations to drive successful adoption.

FY24 Execution and Progress

- **HVACLearningCampus:** is launched to serve and support customer training in one platform.
- Enhanced **Tech Hub** performance with all Brand products and personalize language experience.
- Launched **Energy Analyzer Pro** with DNA+DAA supporting strategic projects with energy modelling analysis.
- Launch of **Xpress Matchup tool** for quick find of AHRI matchup and reducing 8 tools to 1.
- **WebXpress** - Mega Q, R32-VRVS, Hero+ launch. **LCXpress** - R32-Rooftop launch.



FY25 Themes

- Enhanced Customer Journey: Building a seamless & connected experience for various tools and services.
- Precision and Performance: Effectively delivering products, tools and features in a reliable experience.
- Optimizing for Success: Enhanced usability, R-32, Inverter, FIT, HW readiness, & streamlined operations
- Clarity, Confidence, and Control: Empowering users with solutions and demonstrate clear benefits of products and technologies

FY25 Plans

FIT/SD/Unitary and RAQA (Ductless) Readiness.

- **Expand Ductless & FIT capabilities** with system selection, piping, wiring and potentially connects to centralized controls for bundled solution project design. Q1 | Peter. K
- Launch **System Builder** with Efficiency advisor focusing key business initiatives of Dual Fuel, R-32, Inverter, Heat Pump. Q2 | Team

Light Commercial (LC) Readiness.

- Implement product **review and validation tools** that contributes to effective deployment of LC products in LCXpress and Admin tools Q2 | Peter. K
- Launch **Light Commercial Inverter Efficiency comparison tool** & simulate life cycle with professional customers in mind (Daikin World concept). Q2 | Team

VRV Readiness.

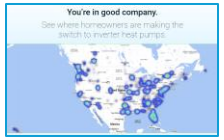
- Upgrade **Centralized Controls module** supporting installations and commissioning. It integrates to various selection tools and controls systems (Hero Cloud). Q2 | Peter. K
- Integrate to **Ecotope (DHW sizing)** for Rebate and Incentives Q4 | Peter. K
- Introduce and Support **CFD simulation** on strategic projects. Q3 | Matt. M

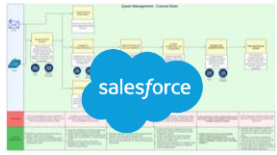
Altherma Readiness.

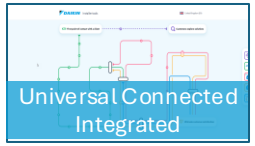
- **Launch and enhance Altherma Software**. Integrate to Daikin City Project Office and provide visibility of complete project tracking. Q1/Q2 | Peter. K

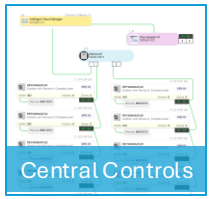
Training and Service enhancements.

- **Visualize training paths and curriculums** that personalize training experience for a user profile on HVACLearningCampus. Q3 | Bryan. M
- Expand Service modules in Tech Hub app with **deep links** to Daikin Apps (Warranty express, Hero+, etc.), **prediction codes** and Video call ability. Q3 | Pratima. G









Sales Tools Readiness (All products business goals).

- **Submittal package redesign** cleaner look and feel, unit of measure conversion and more content to download in one click. Q2 | Bryan. M/Huy. N
- Implement **Product Library knowledge center** view. Q3 | Bryan. M
- **Introduce train track experience** that organically sync project pipeline from various tools and processes. Q4 | Bryan. M / Peter. K
- **Launch enhanced BIM portal**, integrate to other applications, deploy static CAD files to PIM/OTMM system as product assets. Q1 | Matt. M
- **Move** customer accounts, users, sales contacts and price multipliers **integrations from old CRM to Salesforce** - sync to latest sales structure for business analytics & reporting in respective regions. Q4 | Bryan. M
- **Move BDM projects and Strategic projects** management visibility for sales team **on Salesforce** platform. Q4 Bryan. M
- Implement project management & **quoting for TSMs/Dealers in Salesforce** to manage quotes and jobs in standardized structure. (RNC, Repair/Replace, etc.) Q1 | Deepak. M
- **Automate pricing discount approval** for TSMs, ASM, RSM or above and order placement with proper notifications and visibility. Q2 | Deepak. M

Effectively deploy data, tools and key features.

- Leverage PIM/OTMM for effective product deployment with clear visibility to content being released with product launches. Q1 | Team
- Localize GSDB platform to DNA region for better control and data enrichment.
- Using Training Tools (Stonely, promo videos). Q2 | Team
- Explore Cross functional QA Testing support. (this is a trial to see benefits it may bring to effective launch of products, tools and features) Q2 | Team
- Reports on key tools to present strategic KPIs and business analytics (FY24 carryover) Q2 | Team

Contingency on performance data, PIM/OTMM data quality, QA Testing, resource constraints, Salesforce.

Strategic Marketing - New Products, New Business Models | Altherma 3H HT Launch Sep. 2025 ⇨ entry into the hydronic market

- Expand sales into new markets with the launch of Altherma 3H HT – replace fossil fuels through electrification, decarbonize hydronic space heating applications and gas water heaters, with the added benefit of space cooling. Target markets focused on a healthy and sustainable environment and contribute to a lower carbon footprint.
- Target boiler replacement and gas furnace & gas water heater applications in Northeast and West regions. Competitor are entering the market with A2W heat pump solutions, this becomes a rapidly developing space. **Business Contribution: 700 systems / $8.5M revenue for FY25**. Growth projection forecast to 4,000 systems for FY26 and 11,500 systems for FY27.

Key Initiatives (PIC: Edwin Reek)

1. Field testing
2. Develop Sales/Marketing collateral and Promotions
3. Upgrade Experience Centers
4. Develop Training & Service materials and execute training
5. Installation of Altherma in Training Centers
6. Develop and provide Application support
7. Develop Go-to-market and channel strategyy
8. Define Rebates and Incentives programs

1. Leveraging Field Testing (PIC: Hong)

- 3 ongoing field trials and in process of adding more
- Develop case studies to support Altherma in the market
- Presentations at conferences, share key learnings
- Use performance data and analytics to secure incentives from utilities
- Collect homeowner feedback for marketing testimonials
- Created Technical Advisory Committee with key stakeholders from utilities and regulators, energy efficiency organizations, and research institutions to review findings and collect feedback.

2. Marketing (PIC: Mike Smith & Sarah Windsor)

- Messaging, Value Proposition & Benefits
- Go-To-Market - Pre-Launch Pack & Launch Events
- Literature/collateral
- Website
- Graphics / Animations / Video (testimonial)
- Promotional items

3. Showrooms / Experience Centers (PIC: Kim Do)

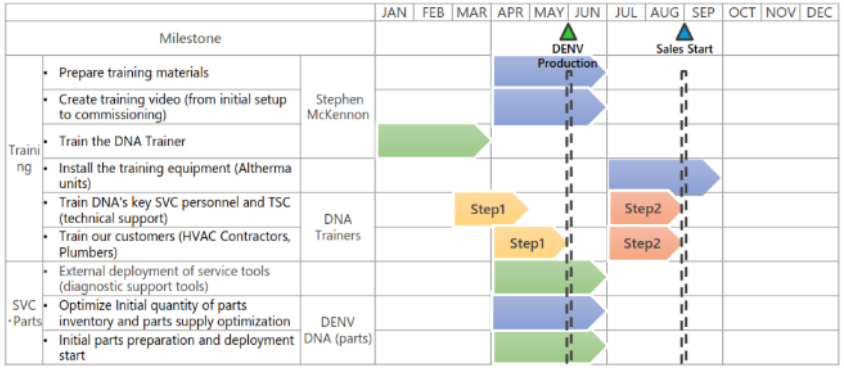
- Add Product Displays and Working Demonstrations

4. Training & Service (PIC: Stephen McKennon & Scott Anderson)

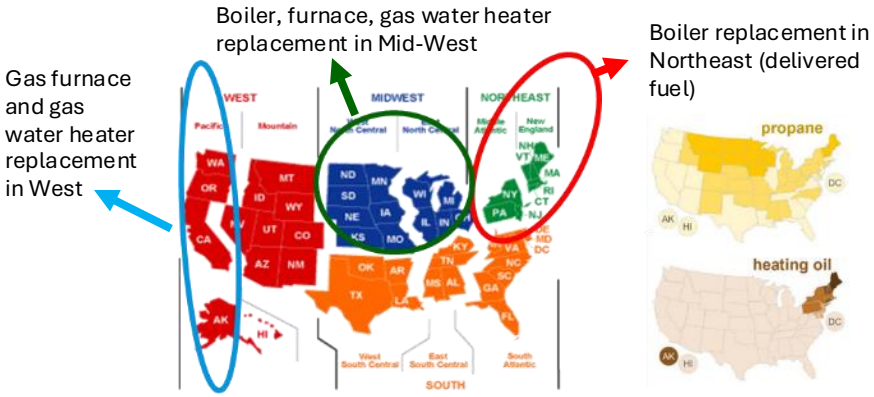
- Pilot training planned in March – train the trainer (RTMs)
- Sales regions to identify dealers and plan onboarding. Installation and Commissioning training to be scheduled close to launch date

5. Training centers (PIC: Robin Hooper)

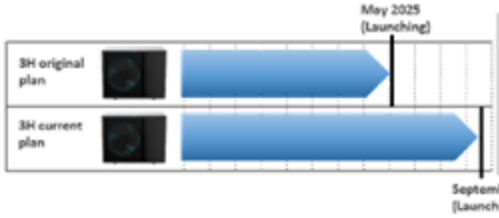
- DTTP
- Woburn (MA), Long Island City (NY), White Plains (NY), and Lynbrook (NY)
- Morgan Hill (CA Bay area), Irvine (CA), Vancouver (WA), and Burnaby (BC)



6. Application guides (PIC: Rob Powell & Sean Damm)



Updated project timeline and projected sales forecast



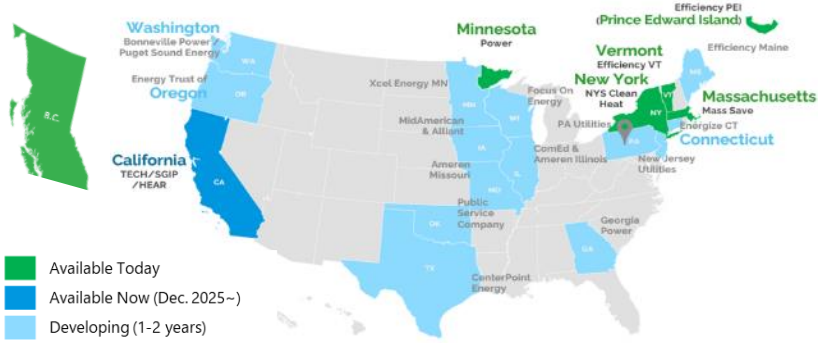
(Units)	FY25	FY26	FY27
3H (14-18kW)	1,000	4,000	11,500
3H (14-18kW)	700	4,000	11,500

7. Channel Strategy (PIC Reek + Drew, Oshimo, Minor)

- Collaborate with Sales Regions to define (1) distribution, (2) contractors, (3) training, (4) stock points, (5) sales volume, (6) sales & application support, (7) target applications, and (8) inventory and additional parts requirements.
- Target 50-60 dealers that do boilers, plumbing, or mechanical.
- First dealer meeting held at Seattle Experience Center for prospective installers from WA, OR, and AK.

8. Rebates and Incentives (PIC: Matt Baker & Ben Hiller)

- Identify available rebates programs for A2W heat pumps and electrification
- Product (performance) requirements for the various programs
- Product registration / qualified product listing
- Develop programs through utility companies



Strategic Marketing - New Products, New Business Models | Altherma 3H HT Launch Sep. 2025 ⇨ entry into the hydronic market

- Execute all defined launch related initiatives on time as per the project road map. **[1]**
- Deploy a fully functional selection software that can streamline the configuration, pricing and quoting of Altherma 3H HT to both Contractors (primary) and Consumers (secondary). **[2]**
- Create added value and long-term customer connection with the activation of Altherma into the Daikin ONE suite of Controls and Cloud Services. **[3], [4]**
- Ensure grid interoperability by leveraging connection to emerging DR & VPP opportunities via Daikin ONE Cloud. **[5]**

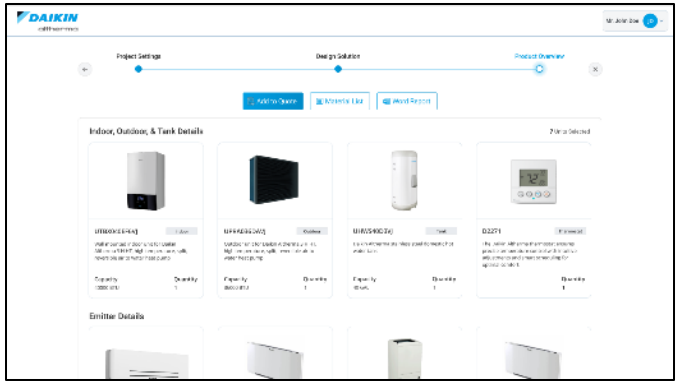
1. Project Roadmap (PIC: Reek)

Category	Item	PIC	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
Supply Chain (pricing, contracts, lead times etc.)	DENV	Emillio Rivera								
	OSO									
	Innova									
	FirstCo									
	Accessories									
	Thermostat									
Pre-Sales Tools	e-Config	Deepak Mandloi								
	HP Convector									
	Hydro AHU									
	UFH									
	Payback									
	Quotation									
	Incentives selling package by state/city	Matt Baker								
	Piping/Wiring	Stephen McKennon (Roger Support)								
	Pipe Sizing									
Sales Planning	Channels	Sales by Region								
	Pricing (list price)	Edwin Reek								
	Ordering (N-6)	Sales planning by Region								
	Match-ups (system configurations)	Edwin Reek								
	Spare parts ordering (N-6)	Sales planning by Region								
Post-Sales Tools	Product Registration	Torri Brandun								
	Warranty									
	Maintenance Manual	DENV team / Amer Charbaji								
	Spare Parts list/bank	Tech. Services (Stephen McKennon)								
Pre-Sales Materials	Competitor line-up	Edwin Reek								
	Pre-Launch Pack	Mike Smith Sarah Windsor								
	Literature/collateral									
	Website									
	Sales tools									
	Graphics									
	Video									
	Animations									
	Showroom DTTP	Kim Do								
	Experience Centers (DC. Lynbrook, and Seattle									
	Promotion items									
	Launch Events (by region)	Mandy Sanchez								
Training, After Sales Service	Training Sites	Robin Hooper								
	Mobile Trainers?									
	Product training									
	Applications support	Robert Powell								
	Installation and Commissioning	Stephen McKennon								
	Service and Troubleshooting	Scott Anderson								
Pre-Launch Events	Sales Training (ABCD's)	Edwin Reek								
	Advertising	Marc Bellenger								
Formal DENV Data	Spec tables	DENV team Amer Charbaji								
	Drawings									
	Manuals									
	Technical books									

Products at DTTP July/August

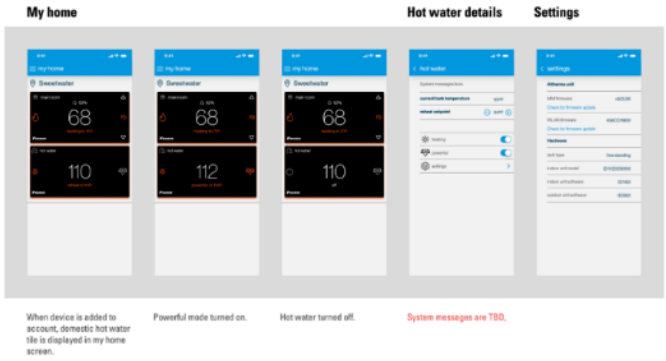
2. Sales Tools (PIC: Deepak Mandloi & Peter Kallas)

Selection software for Altherma 3HHT is being developed for North America. Step-by-step selection tool for dealers to specify all equipment and accessories for an installation.



3. App development (PIC: Shawn Beus)

Altherma will be integrated in the DaikinOne App, including functionality for DHW and room temperature.



4. Cloud Services Integration (PIC: Cahill)

- **Improve contractor engagement**
- **Quality install**
- Define Dealer Cloud Services for Altherma, focus on quality install, diagnostics and trouble shooting, remote system optimization, energy insights, etc.
- Evaluate Cloud Services tools and their adoption in Europe.

5. Altherma Grid interoperability (PIC: Hearnsberger)

- **Utility Interoperability**
- **Energy Efficiency**
- **Improved Consumer Experience**

- Define how can we use the 24V or DaikinOne+ thermostat and the integration to MMI as a pathway for Grid Interoperability with our Daikin One HOME App and Daikin One Cloud.
- Focus on DR, TOU, HEMS functionality, potentially leveraging the work that is done for FIT product, already.

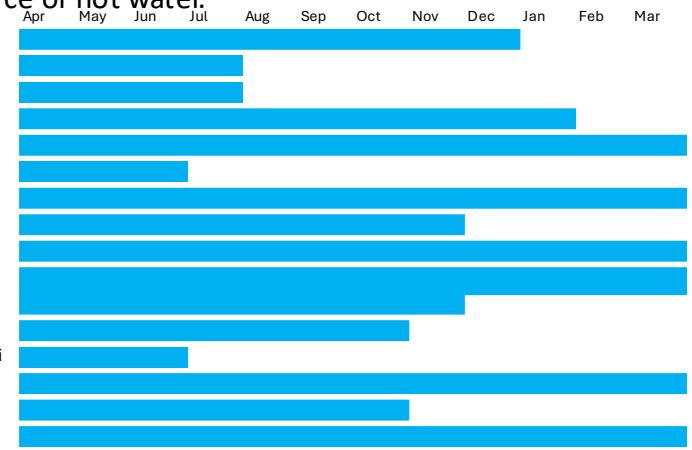
Strategic Marketing - New Products, New Business Models | Phase 2 Altherma Product Research & Planning

PIC: REEK

Execute Market research and strategy planning of the phase 2 Altherma lineup plan for North America to expand business into different applications, capacities and climate zones.

- **Residential Market Coverage:** **1. Altherma 3M** for milder climates, 2. **DHW only** to solve hot water needs & enter the growing HPWH segment & **3.** Small capacity **Altherma 3H**
- **Commercial Market solution**: **4. Altherma WS** is an attractive solution for Multi-Family applications and has been repeatedly requested by Reps and Sales team to launch in U.S. market.
- **Growth & Synergy Accessories**: **5. Package/Skid-mounted Altherma** and **6. ERV hydro coil integration for Altherma** and can also pull through revenue for Altherma 3H HT and Daikin Applied products as a central source of hot water.

1	Prepare phase II – Launch Altherma 3M	Edwin Reek
2	Altherma DHW water heater	Edwin Reek
3	Altherma 3 WS for collective housing	Edwin Reek
4	Altherma 3H product range expansion	Manas Daniel
5	Packaged/Skid-mounted Altherma	Edwin Reek
6	ERV hydro coil integration for Altherma	Edwin Reek
7	Zoning system for Altherma	Edwin Reek
8	Thermal Storage	Edwin Reek
9	Altherma Multi+ / Altherma 4X	Edwin Reek
10	FIT-Therma – Mar	Edwin Reek
11	Altherma Controls	Edwin Reek
12	Altherma Cloud Services	Edwin Reek
13	Altherma Software	Deepak Mandloi
14	Altherma App functionality	Manas Daniel
15	Altherma Grid interoperability	Edwin Reek
16	Altherma Hybrid / Dual Fuel	Edwin Reek



1. Prepare phase II – Launch Altherma 3M Monobloc

- **Replace gas furnace and gas water heaters**
- **Expand market coverage into milder climates, like California & NW**

The launch for Altherma will likely be staggered, starting with 3H HT, and followed by 3M Monobloc.

2. Altherma split-type DHW water heater

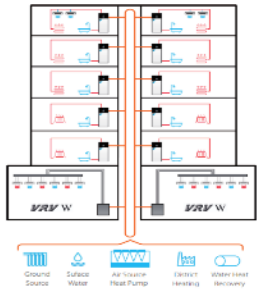
- **Entry into the stand-alone water heating market**

The planned 2029 water heater regulation (ban of 35-120 gallons electric resistance heaters) is expected to lead to a rapid shift to HPWH. We are working on a slipt-type HPWH solution for this growing market, either R32 or CO2 system. An integrated HPWH os also being considered as a secondary option.

3. Altherma 3H product range expansion

- **Market Expansion**

Expand the product range by adding more capacities to the lineup. Initial launch will include 36,000 and 43,000 Btu models, but market needs smaller capacities, especially for well insulated homes.



4. Altherma 3WS for collective housing

- **Grow Altherma**
- **Expand market coverage into multi-family and high-rise applications**

1. During market research/Gemba for Altherma, the need for a heat pump solution for collective housing was expressed multiple times. The team wants to research this application to understand if there is a business case for Altherma 3 WS. Olympic in BC and DSX in MA would be initial targets
2. Altherma 3 WS are individual, in-suite heat pumps connected to a central water loop. The central source could be (packaged) Altherma 3H HT, or a Daikin applied solution for larger capacities, providing addition revenue opportunity.
3. This project has synergy with other projects 5. Package/Skid-mounted Altherma; 6. ERV hydro coil integration for Altherma.

5. Packaged/Skid-mounted Altherma

- **Packaged solution to applications requiring multiple Altherma systems**
- **Market expansion into larger applications, up to 25 ton**

At webinars, and conferences and forums for heat pump water heaters we have seen several examples of the WaterDrop system, which is a drop-in DHW solution for large buildings using the SANCO2 heat pump water heater.

The skid packaged solution is sized to the building needs, and includes piping, heat pumps, tanks, swing tanks and controls.

6. ERV hydro coil integration for Altherma

- **Energy Efficiency**

Collaborate with Oxygen8 on the development of an ERV system with integrated hydro coil for space conditioning.

For energy efficient buildings where ventilation is a requirement, this would provide an all-in-one hydronic solutions for space heating, cooling, ventilation, and DHW, elimination the need for additional emitters in the space.

Strategic Marketing - New Products, New Business Models | Phase 3 Altherma Product Research & Planning

PIC: REEK

Execute early Market research of the phase 3 Altherma lineup plan for North America to expand business into different applications, capacities and climate zones.
Additional Altherma Accessories: **7. Hydronic Zoning system** is needed, as current solutions in the market are heating only (boiler focus), not cooling. We will also investigate the potential for **8. Thermal Storage** as an energy efficiency and HEMS solution for the hydronic market.
Additional Product Solutions: Solutions like **9. Altherma Mult+ / Altherma 4X** and **10. FIT-Therma** will be explored. Both solutions offer the potential to increase Ductless and FIT sales by adding on water heating. For further Altherma expansion into colder climates and as a solution for winter peaking, an **11. Altherma Hybrid** solution will be researched.

7. Zoning system for Altherma

- Improved user and contractor experience
- Expand market

Current zone controllers in the market are heating only, boiler products. For Altherma, a cooling option is required.

Wireless would be desirable, especially in a retrofit market. Potentially, there is synergy with the wireless zoning system for FIT that is currently in development. Instead of operating a zone damper, the requirement would be to activate either a zone pump or a zone valve.

8. Thermal Storage

- **Energy Efficiency / HEMS**
- **Market innovation towards more energy efficient use of hydronic systems**

Key technologies in building electrification/ decarbonization are:

1. Heat pumps
2. Electrical storage (battery)
3. Thermal Storage

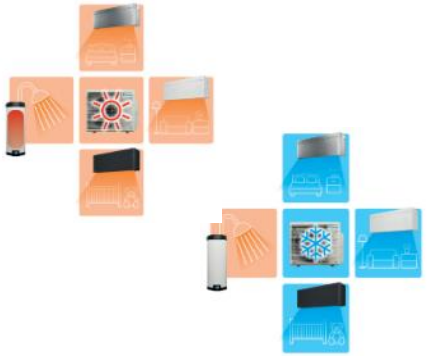
While our HEMS focus already includes electrical storage (battery), we want to expand our scope to include thermal storage techniques, technology, and products. It is evident that grid management, demand response, load shifting, etc. will benefit from thermal storage. With the roll-out of Altherma to the NA market, this opens an opportunity for Daikin to develop technology that contributes to the comfort in a home, manage energy/electricity bills, and contribute to a stable grid.

Consider investigating products like Harvest Thermal Harvest - Heat Pump + Smart Thermal Battery (harvest-thermal.com) and research other products in this space

9. Altherma Multi+ / Altherma 4X

- **Grow ductless sales by adding water heating, product versatility**
- **Transform the market with a 3-in-1 ductless solution for air-to-air applications**

During initial market research/Gemba for Altherma, Multi+ was very well received by distributers and contractors. Our focus shifted towards 3H HT and 3M as main priority. The team proposes to pick up the market research and explore feasibility of a split solution combining air conditioning and hot water. 10
Multi+ connects up to three indoor units and one DHW tank



10. FIT-Therma

- **Grow ductless sales by adding water heating, product versatility**
- **Transform the market with a 3-in-1 ducted solution for air-to-air applications**

Explore feasibility of adding DHW to the FIT product offering. Goal is to provide a fully electrified, all-in-one solution for ducted applications providing heating, cooling and DHW.

FIT + DHW

11. Altherma Hybrid / Dual Fuel

- **Boiler replacement**
- **Expand market coverage into coldest climates**

Expand the application for Altherma into colder climates. A hybrid solution will give homeowners piece of mind maintaining comfort in their homes, even during the coldest days of the year. Homeowners will benefit from the efficiency of a heat pump most of the year, will add cooling to their homes, reduce carbon footprint, and even manage their gas/electricity bill by fuel shifting. Consider options like the EKCC controller and option PCB EKRP1HBAA for bivalent operation.
A hybrid solution can also target areas where winter peaking is a problem. The system can switch to the boiler to reduce the load on the grid, as needed, and can be controlled by utility companies just like DR.

Strategic Marketing - New Products, New Business Models | HEMS and Residential Solutions Business

PIC: HEARNSBERGE

We will further prepare and develop the foundation of HEMS with key initiatives and relationships that become the cornerstone in the industry for added value.

- **We will realize a working model of HEMS by establishing key learnings for consumer value [1] and develop connections with data and energy savings with leading electrical data sources [2].**
- **Collaboration and demonstration of FIT HP power savings with partial demand will be accomplished by using the AHRI 1380 Standard [3], [4] resulting in further INV/HP incentives.**
- **Key business relationships will be converted to Daikin's advantage with Mitsui by using co-promotion with community based solar rates + INV/HP [5]. Establishing a platform to accelerate our realization of 100 "Super-Electrifiers" through Greentech and Motili' new platform [6].**

1) Guide and Support HEMS Development

- Bring key learnings from Daikin Field trial sites together with insights that test and promote realistic features for HEMS software – closer relationship with Venstar and Eng for product shaping.
- Develop and maintain experience matrix to easily summarize our collective learning.
- Feedback loop from new home builders to NPI team
- Collaborative feedback from market research (Parks & Associates + Smart Home Forums)

What	When (S)	When (F)	Who
Experience Data Base	April 25	Ongoing 26'	Kelly/HEMS Team
Home Builder/Owner VOC	April 25	Ongoing 26'	Kelly/Nat. Accounts Team
Research by Smart Home Surveys/Forums	April 25	Ongoing 26'	Kelly/HEMS Team

2) Collaboration with Battery, Solar Power, Smart Panel Manufacturers

- Predicting FIT (Feed-in Tariff) power consumption to efficiently store affordable electricity in batteries, thereby reducing electricity costs
- Operating air conditioners using battery power during power outages
- Establishing adoption of INV/SD via power upgrade avoidance with smart panel/breakers
- Establish VOC feedback loop for combined value with new national account new builder partners (Beazer, Sekisui House, Thrive, Lennar, Pulte…)

Enode

What	When (S)	When (F)	Who
Enphase	Cont from 2024	Ongoing 26'	Venstar/Kelly
SPAN	Cont from 2024	Ongoing 26'	Venstar/Kelly
Eaton	Q1-2025	Ongoing 26'	Venstar/Kelly
Savvant	Q1-25	Ongoing 26'	Venstar/Kelly
Jackery	Q1-25	Ongoing 26'	Venstar/Kelly
Establish data pipeline for HEMS development	May 24'	Target Aug 25'	Kelly/HEMS Team

3) Collaboration with Power Companies (SCE & EPRI)

- Operating A/C and HP Hot Water in response to dynamic pricing which changes electricity rates based on surplus electricity during the day and electricity shortages in the evening.
- Demand Response demonstrations are expected to increase incentives and further deepen inverter HP as the most flexible system for utilities.

What	When (S)	When (F)	Who
SCE	May 25	May 26	Kelly
EPRI	April 25	April 27	Kelly

EPRI Electric Power Research Institute

SOUTHERN CALIFORNIA EDISON An EDISON INTERNATIONAL Company

4) Standard (AHRI) Development

- Serve as Chairman for duration of 2 additional years
- Guide standard improvements to protect Inverter advantage with DR
- Establish more communicating protocols to include Matter, Home Connectivity Alliance, ADR 3.0

What	When (S)	When (F)	Who
AHRI-1380 Committee	Cont from 2024	Ongoing 2025	Kelly/AHRI
Eng to input FIT	Cont from 2024	Aug 2025	Kelly/Eng
1380 – Rev 2.0	Jan 2025	Q1 2026	Kelly/AHRI

AHRI AIR-CONDITIONING, HEATING, & REFRIGERATION INSTITUTE we make life better®

CEE Consortium for Energy Efficiency

5) Convert Investigations with Mitsui to Daikin Progress

- Focus on converting efforts in community based solar rates to couple with HP/INV conversions in the market with bundled offering
- Promote conversion of ~10 synergy items with multiple other members of DCT and DAA

What	When (S)	When (F)	Who
CBS +Daikin Pilot	June 25	June 26	Kelly
~10 Synergy Items	2025	Ongoing 2026	Kelly

MITSUI&CO. MyPower Corp.

6) Business/Channel Development

- Serve as advisor/guide for Greentech distribution channel development with National Account short- and long-term new home build channel to build foundation of HEMS through adoption of side inverter, Cloud Services, and ultimately position for BOD to include S+B+INV/HP Electrification
- Coordinate efforts to partner with Gradient (short and long-term action items).
- Refine understanding of the "Super-Electrifier" with additional Gemba

GREENTECH RENEWABLES

What	When (S)	When (F)	Who
Greentech	Feb 2025	May 2026	Venstar/Kelly
Gradient	Cont from 2024	Ongoing 2025	Kelly/Edwin/NARDC
Super-Electrifer VOC	Cont from 2024	Ongoing 2025	Kelly/Edwin/NARDC

Strategic Marketing - New Products, New Business Models | Relaunch IAQ Business

PIC: HEARNSBERGE

- Relaunch IAQ as a vital part of our system experience to the home by creating the expectation to builders, contractors and ultimately home-owners that our products elevate the life and health experience. We will utilize the Clean Comfort and Daikin branded products **[1]** to penetrate the new build segment with bundles that appeal to both standard and advanced builders**[2].**
- Advanced features that formalize our Detect, Visualize, Act philosophy will be added via ERV and Ventilators to deepen our value with consumers **[3]**. We will focus on profitability by eliminating end of life technology and evaluate lower cost sources without compromising quality and delivery.
- Lastly, we will open new channels of sales that enable innovative product sales such as an on-line marketplace for direct-to-consumer reach **[4]**.

1) Conduct a comprehensive review of all Clean Comfort and Daikin products for improvement of features and supplier relationships leading to a refreshed strategy and roadmap:

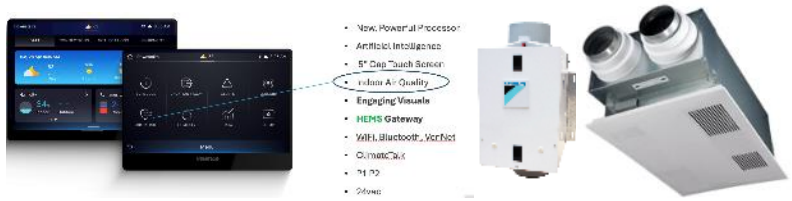
a. Filters
b. ERVs
c. Ventilation
d. Humidity
e. IAQ Sensors

What	When (S)	When (F)	Who
Product Line Review	April 2025	Aug 2025	PM/Team
Agree changes	HCM	PDM	PM/Team

2) Expand sales and marketing efforts to penetrate new home construction by focusing on higher efficiency builders through national accounts + EEBA (providing bundles that meet EPA Indoor Air Plus and Gold requirements.

What	When (S)	When (F)	Who
Establish VOC	Feb 2025	June 2025	PM/Kelly/Nat. Acct.
Bundles Approach	May 2025	Ongoing	PM/Kelly/Nat. Acct.

3) Complete "Detect/Visualize/Act" strategy by improvement of IAQ line-up with communicating solutions.



What	When (S)	When (F)	Who
Integrate ERV	April 2025	Nov 2025	PM/Team/Supplier
Integrate Ventilation	April 2025	Sept 2025	PM/Team/Supplier

4) Establish On-line Marketplace Filter and Accessories store (per vision in GRS) – by coordinating with Motili and starting with replacement filters for direct order by consumers.

What	When (S)	When (F)	Who
Decide Chan Tool	April 2025	June 2025	Kelly/Motili
Basic Offerings	June 2025	Ongoing	Kelly/Motili

IAQ Revenue, Qty Trend and Goals

Clean Comfort and Daikin Branded Products:

Clean Comfort and Daikin branded solutions have been growing modestly but show lack of attention and have not reached top of mind in the sales and contractor's practices.

	FY24 FF	FY25 OB	
Clean Comfort			
Air Filtration	12,646,753	13,167,909	104%
UV Lights	1,348,908	1,387,497	103%
Humidity Control	1,945,560	2,005,636	103%
ERV/HRV	6,007,462	6,165,088	103%
Zoning	604,883	624,296	103%
	22,553,567	23,350,426	104%
Daikin IAQ			
Home Air Monitoring	8,812	8,900	101%
Premium Air Cleaner	508,469	510,563	100%
Powered Ventilation	366,841	369,477	101%
	884,121	888,939	101%
	23,437,688	24,239,365	103%
Total Branded	45,991,255	47,589,792	103%

FY25 Plan)

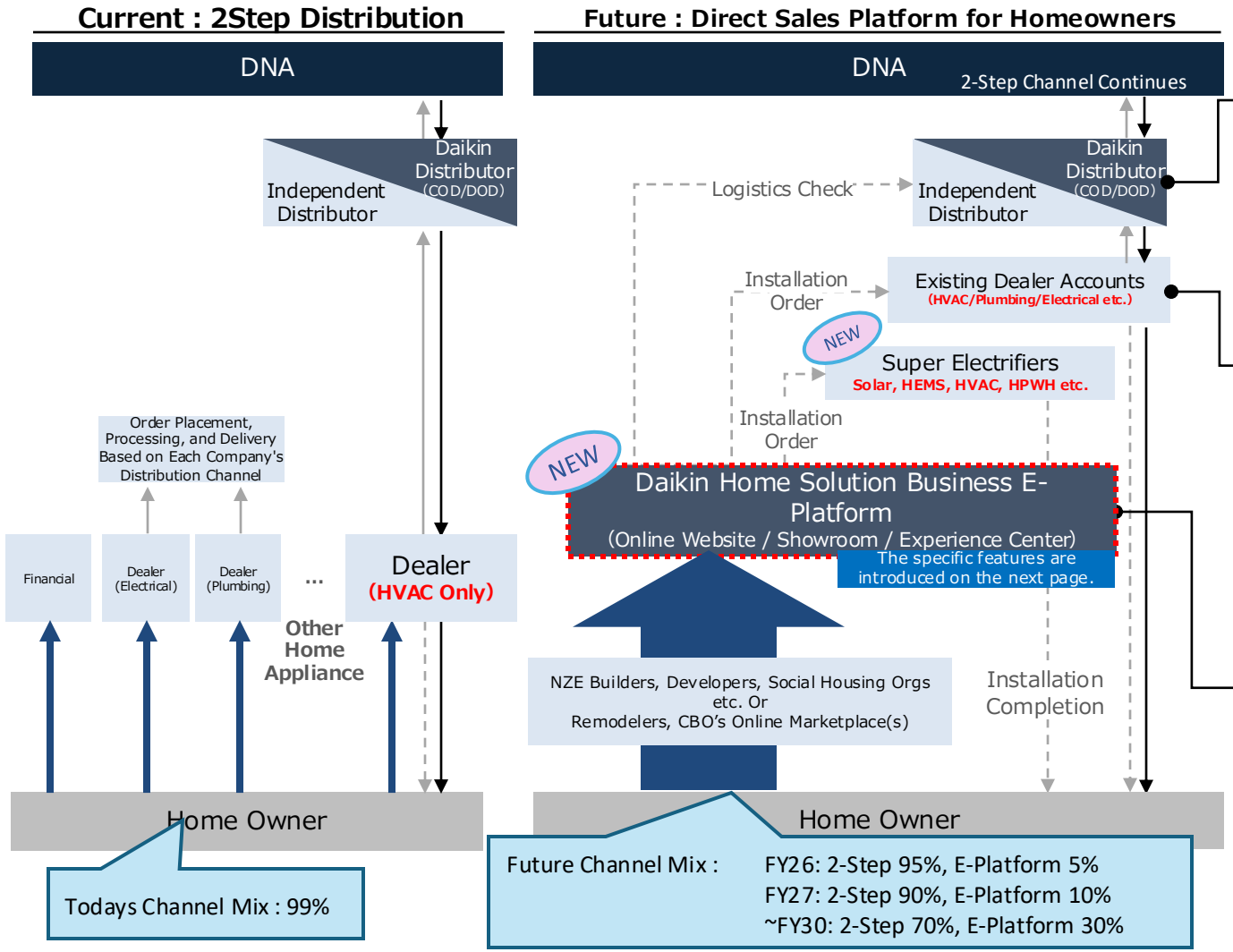
- Based on a refreshed product line and feature enhancements with connectivity to Daikin One platform, we are aiming for a 10%+ growth in FY 25 sales.

Total IAQ	Revenue	Gross Mgn	GM%
Air Filtration	15,012,488	3,901,562	26%
UV Lights	6,737,089	1,903,357	28%
Humidity Control	8,524,591	4,856,927	57%
ERV/HRV	9,195,328	3,181,452	35%
COD	39,469,496	13,843,297	35%

Strategic Marketing - New Products, New Business Models | Residential Solutions E-Platform Development

PIC: SMITH

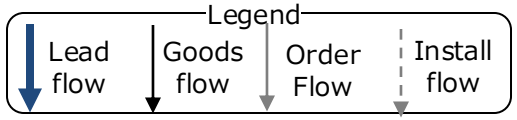
- To gradually transition from current two-step distribution model, we aim to acquire leads directly and outsource installation work for bidding & then execution to dealers & super electrifier contractors.
- This positions Daikin closer to the homeowner to reduce complexity, improve satisfaction and creates long-term customer value, higher adoption of membership services and life cycle retention.



– We will continue efforts to internalize distribution, aiming to optimize the role of distributors as logistics experts.

– By providing leads to dealers, we aim to ensure a steady flow of work for them while managing the total first cost & profit pool per installation seen by homeowners.
  – We believe internalizing dealers offers limited benefits due to the high fixed costs and complexity of managing them.
  – Given the vast number of contractors across the U.S., fully internalizing this function would lead to excessive fixed costs. Additionally, most contractors are small-scale businesses, making management overly complex.

– The focus will be on an online platform, but showrooms for display and sales coordination will be arranged in high-demand areas like California.
– However, since owning stores incurs significant fixed costs, the final number of stores will be determined based on efficiency.



Strategic Marketing - New Products, New Business Models | Residential Solutions E-Platform Development

PIC: SMITH

- Connect our Motili platform to a network of lead-generation channels, including physical stores such as showrooms, experience centers etc, and integrate new capabilities for complete solutions proposals.
- This will allow customers to experience and purchase not only our products but also various home equipment, providing seamless one-stop support from purchase to installation.

Visits Website
- In House - Solution Wizard

HPs, Electrification etc
- Virtual Consultations and an expanded Solutions Builder

Ingest baseline Home Information
- YellowTin Integration

Output Electrification Journey & Insights
- YellowTin Integration

Immersive Needs Assessment
- Conduit Integration

Immersive Load Calc & Visualization
- Conduit Integration

Selection from Proposal of Options
- Motili Integration

Contractor Matching, Proposals & Cost Estimate
- Motili Integration

Integrated Financing and Incentives Approvals
- RockRabbit & Palmetto etc Integrations
- Note: YellowTin COULD be used here as well

Permit Form Fill & Filing
- TBD

Inventory Checking and Shipping
- Motili Integration

Pre-payment / Deposit
- Motili Integration

Installer Site Work and Commissioning
- Motili Integration

ESA and Subscription Activation
- Warranty Xpress Integration

Add'l Life Cycle Services Activation
- Cloud Services Integration
- E-Comm Integration

Lifecycle engagement & insights
- Cloud Services Integration

Lifecycle Upgrades and/or replacements
- Motili Asset tagging integration

End of Life Replacement & Retention
- Motili Integration

Daikin | YellowTin | Conduit | Motili | RockRabbit, Others

We will establish a model where we manage the entire process, from sales to installation, by directly receiving orders from end-users and delegating the work to dealers.
By maintaining direct customer contact, we aim to guide them into a lifecycle model.

Strategic Marketing - New Products, New Business Models | Residential Solutions E-Platform Development

PIC: SMITH

- A cross functional task team has been assembled to support our Residential Solutions efforts during FY25 **[1]**.
- A sub team of technology specialists has been identified to drive the integration and optimization of key modules from multiple vendors to ensure that the UI/UX delivers the best user experience and serves as the foundations of our residential solutions business vision towards Fusion30.
- A high-level action plan has been developed with the commitment to having the E-Platform ready for deployment from FY26 **[2]**.
- Execution cadence will be realized via monthly task team progress reporting both internally with DNA Executive Leadership and with DIL per the requirements of the Global Residential Solutions (GRS) Task Team.

1. E-Platform Action Plan Taskteam

Leader: Lee Smith

Sub Leaders: **Vaidy Subramanian** (Digital IT), **Eric Drew** (Sales), **Karl Pomeroy** (Motili Platform), **Masafumi Hashimoto** (Solutions Engineering), **Tsuyoshi Hashimoto** (NARDC)

Task Team:

Marketing:
Kelly Hearnsberger, Zach Small, Jim Cahill, Kim Do, Leena Muslet (Product Manager), Stephanie Kluever (Director, Marketing, SES)

Sales:
David Mastrangelo, Matt Sallee, Jason Thorson (Product Specialist, Motili), Matt Baker (Manager, Business Development), Jonathan Moscatello (Manager, Utility Relations), Wes Hueseman (TMI), Mike Akau (Thermal Supply)

Technology:
Brad Hollis, Bryan Marquant (Manager, Business Tools), Rob Prickett, Josiah Johnston (DSV), [Pending - Vishwas Ganesan - YellowTin]

Engineering:
Jacky Chen (Controls Engineering), Aaron Chen (Controls Engineering), [Venstar - TBD],

Service:
David Hutchinson, Josh Barr

2. E-Platform Action Plan Task and Targets

Category	Item	Action plan	Objective	Target	Team	Status	Revised	Comment
3. Transformation to owner direct sales approach to diversify channel to market	7) E-Platform Creation	7)-1 Define Technology & User Experience Wireframe of E-Platform based on existing Motili solution	Define how to integrate many internal and external data sources, vendors	Apr 25'	Marketing			
		7)-2 GUI, UI/UX Design & Testing	Deliver Best User Experience	Nov 25'	Marketing			
		7)-3 List Up Technology targets	Identify vendor options for platform attributes	Apr 25'	Marketing			
		7)-4 Promotional PR & Lead Gen Management	Quality of Leads and Close Rates	Jul 25'	Technology			
		•Evaluate impact of Energysage as integrated partner						
		•Evaluate HubSpot, Yellowtin and others as alternative			Technology			
		7)-5 Conclude Solution Design & Value Proposition integration options	White Label Licenses for optimum UI/UX and Integration	Apr 25'	Technology			
		•**LiDAR**: Conduit or Amply						
		•**Energy Audit**: Ekotrope			Technology			
		7)-6 Conclude ongoing Finance, Leasing & Incentives / Rebates integration options		Aug 25'	Technology			
		•**Financing**: Palmetto						
		•**Incentives, Permitting**: Rock Rabbit			Technology			
		7)–7 Install, Commission, Monitor & Service		Sep 25'	Service			
		•**AI Help Bot**: execution internally via IT Dept						
		•Consider XOi (Existing Partner)			Service			
		7)-8 New Vendor Agreements	Secure white label access to key tools & competencies	Sep 25'	Marketing			
		7)-9 Technology Integration Layer creation	Vendor data mapping to proposed front end	Oct 25'	Technology			
		7)-10 Advisory Customer Testing	Eliminate Bugs, Make Corrections	Feb 26'	Technology			